BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Gas Supply Panel

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Q. Members of the Staff Gas Supply Panel (Panel), please state your names, employer, and business address.

A. Our names are Davide Maioriello and Jennifer Park. We are employed by the New York State Department of Public Service (Department) and our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Maioriello, in what capacity are you employed by the Department?

A. I am a Utility Engineering Specialist 3 within the Gas and Water Rates and Supply Section of the Office of Electric, Gas and Water.

Q. Please summarize your educational and professional experience.

A. I attended Hudson Valley Community College and graduated with an Associate in Applied Science degree in construction technology. I continued my education at the SUNY Institute of Technology and, in May 1999, graduated with a Bachelor of Science degree in civil engineering technology. From February 2000 to February 2003, I was employed by SPEC Consulting, LLC as a Project Engineer. My work involved project management

and coordination, engineering, as well as various computer-aided design projects. From February 2003 to December 2005, I worked for the City of Albany Engineering Division where I was responsible for a number of tasks, including inspections of major roadway projects and other municipal construction projects. I also engaged in permit processing and utility work inspections. In December 2005, I joined the Department and, since that time, I have performed various engineering analyses of projects and associated capital budgets, operations and maintenance (O&M) expenses and programs, distribution system reliability needs, capacity and demand requirements, and review of various petitions and tariff filings of gas and electric utility companies in New York State.

Q. Please describe your duties in the Office of Electric, Gas and Water.

A. My responsibilities within the office focus on the analysis of natural gas utility policy issues, including distribution system reliability and planning, capacity asset management, gas purchasing practices, gas system

reliability, and issues related to the restructuring of the natural gas industry and use of natural gas in New York State.

Q. Have you previously provided testimony before the Public Service Commission (Commission)?

A. Yes. I have provided testimony with respect to a number of issues, including capital expenditures, materials and supplies, depreciation rates, sales forecasting, revenue decoupling mechanisms, revenue allocation, rate design, lost and unaccounted for gas, capital expenditure reconciliation mechanisms, retail access issues, reliability forecasting and supply planning, peaking supply and capacity issues, design day and winter forecasting, reliability improvements, gas network enhancement and reporting requirements. I have provided testimony in the following rate proceedings: Case 19-G-0666, Consolidated Edison Company of New York, Inc.; Cases 05-G-1494 and 14-G-0494, Orange and Rockland Utilities, Inc.; Cases 05-G-1635, 08-G-1392 and 15-G-0382, St. Lawrence Gas Company, Inc.; Cases 06-G-1185 and 16-G-0059, The Brooklyn Union Gas Company d/b/a

National Grid NY (KEDNY); Cases 06-G-1186 and 16-G-0058, KeySpan Gas East Corporation d/b/a National Grid (KEDLI); Cases 07-G-0141 and 16-G-0257, National Fuel Gas Distribution Corporation; Cases 08-G-0609, 12-E-0201, 12-G-0202 and 17-G-0239, Niagara Mohawk Power Corporation d/b/a National Grid; Case 09-G-0716, New York State Electric & Gas Corporation; Case 09-G-0718, Rochester Gas and Electric Corporation; Case 11-G-0142, Chautauqua Utilities, Inc.; and Case 14-G-0319, Central Hudson Gas & Electric Corporation.

Q. Ms. Park, in what capacity are you employed by the Department?

A. I am an Assistant Engineer and work in the Gas and Water Rates and Supply section in the Office of Electric, Gas, and Water.

Q. Please summarize your educational and professional background.

A. I graduated from University of Buffalo in May 2017 with a Bachelor of Science Degree in Chemical Engineering. In July 2017, I joined the Department of Public Service in the Office of Electric, Gas and Water.

Q. Please describe your duties in the Office of Electric, Gas and Water.

A. My responsibilities within the office have been focused in several aspects of utility ratemaking, including customer and volumetric forecasting, rate design, gas adjustment clause reconciliation, gas winter supply reviews, escrow account reviews, small water company rate case reviews, and water company transfer petition reviews.

Q. Have you previously testified before the Commission?

A. No.

Scope of Testimony

Q. What is the scope of your testimony in this proceeding?

A. Our testimony will address certain proposals made by KEDNY and KEDLI, together the Companies, related to the following gas program and supply topics: (1) Green Gas Tariff; and (2) Gas Hedging strategy.

Q. In this testimony, will you refer to, or otherwise rely upon, any information produced

during the discovery phase of this proceeding?

A. Yes. We will refer to, and rely upon, several responses to Information Requests (IRs), all of which are included in Exhibit__(SGSP-1).

Q. Are you sponsoring any other exhibits in support of your testimony?

A. No.

Q. What is the Rate Year in these proceedings?

A. The Rate Year is the 12-month period ending March 31, 2021.

Green Gas Tariff Offering

Q. What did the Companies propose with regard to a "Green Gas" tariff?

A. As discussed on page 31 of the pre-filed direct testimony of the Future of Heat Panel, the Companies propose a Green Gas Tariff offering to commence in April 1, 2021, or the year following the Rate Year, which the Companies refer to as Data Year 1. Under this offering, customers could voluntarily purchase renewable natural gas (RNG) for a portion or all their gas supply needs. The Companies state that different customers prefer different pricing structures,

where residential customers tend to prefer price certainty while non-residential customers prefer costs that scale as a percentage of use. In order to accommodate different customer preferences, the Companies propose a tiered system. Specifically, page 32 of the Companies' pre-filed Future of Heat Panel testimony provides four tiers: Low, Low-Middle, High-Middle, and High. The proposed tariff would provide customers with the option to choose a tiered level of RNG at a flat rate per month for residential customers, meaning those in service classes (SC) 1A, 1B, and 1B-DG, and either a flat rate or a percentage of monthly consumption for non-residential customers, meaning those in SCs 2, 3, 4, 7, and 21. Participation in the Green Gas Tariff would require residential customers to commit to remain in the program for a minimum of 12 months and non-residential customers to commit for 24 months.

Q. Explain how the Companies developed the tier structure and the rate associated with each tier

A. As stated in the response to IR DPS-365, the Companies proposed tier structure was initially

modeled based on the structure of a similar program that was successfully implemented at Vermont Gas Systems, Inc.

Q. Have the Companies provided an update to their tiered structure in their Corrections and Updates filing?

A. Yes, as shown on page six of the Companies' Future of Heat Panel corrections and updates testimony, the Companies propose to "update the residential tiers to include a flat-rate option that more closely tracks the 100 percent option for non-residential customers."

Q. Do the Companies propose any full-time equivalent employees (FTEs) associated with the Green Gas Tariff?

A. Yes, as shown on Exhibit_(FOH-13CU)in the Companies' Future of Heat Panel corrections and updates testimony, the Companies propose two FTEs to be hired in the Rate Year, one for KEDNY and one for KEDLI, to begin the process of implementing the green gas tariff program.

Q. Do the Companies propose to reconcile any over or under collections associated with RNG gas costs for the proposed Green Gas Tariff?

A. Yes.
Q. How?
A. The Companies propose to create a separate reconciliation for the RNG gas costs and include any monetized environmental credits to reduce the RNG costs for participating customers.
Q. Does the Panel support the proposed Green Gas Tariff?
A. Yes. We support the proposed program and believe that the tiered structure provides a simple subscription methodology for customers to participate along with pricing certainty that is easy for a customer to include in their decision making for budgeting purposes. However, we do have two recommendations.
Q. What do you recommend?
A. First, we recommend that the proposed FTEs be reduced from two to one FTE for the Rate Year. Second, we recommend that the Commission require KEDNY and KEDLI to reconcile gas costs and any associated gas credits as part of the existing gas adjustment clause mechanism.
Q. Why do you recommend reducing the FTEs associated with the green gas tariff program in

the Rate Year?

A. Since the program is new and will not be available to customers until Data Year 1, it is difficult to tell how many FTEs will be needed to administer the program. Therefore, we believe one FTE, half for each Company, will be sufficient to start with, for the preparation of the green gas tariff. Depending on how the program develops, and how many customers participate, the number of FTEs associated with the green gas tariff program may be adjusted in the future.

Q. Why are you concerned with the Companies' proposed separate reconciliation mechanism?

A. With the program just starting, and a lack of participation and RNG cost data, we are concerned that a separate RNG reconciliation could lead to bill impacts that may be detrimental to the initial participants and ultimately undermine their continued participation in the program.

Q. When should the Commission consider a separate reconciliation mechanism?

A. When the Companies have some track record of

forecasting the costs, so that the bill impacts of the reconciliation can be understood. Also, the Commission should consider the number of participating customers, across which the reconciliation would be spread.

Q. Why is it reasonable to have one mechanism to start the program?

A. With the proposed program being in its infancy, and that the supply and environmental benefits provided by the RNG supplies ultimately benefiting all customers, we recommend that any excess unsubscribed RNG supplies be included as part of the overall gas supply portfolio of all firm gas customers, including those that do not participate in the program. At this stage, any gas cost impacts to non-participating gas customers will be minimal and not have any material effect due to the small expected RNG volumes in the near future and the size of the current gas supply portfolio.

Gas Cost Hedging

Q. How do the Companies mitigate gas cost volatility associated with the gas supply

portfolio for customers?

A. As described starting on page 36 of the testimony of witness Elizabeth D. Arangio, the Companies use various methodologies to protect prices for approximately 50 percent, but no more than 60 percent, of forecast winter firm sales and to allow prices to fluctuate with the market for the remaining forecast winter sales. These methodologies are described in a diversity and volatility mitigation plan.

Q. Have the Companies recently changed their hedging practices?

A. Yes, as described starting on page 38 of witness Arangio’s testimony, the Companies have incorporated the use of options at Dominion South Point into the hedge portfolio and are favoring up to 100 percent of options for the financial hedge component of the supply portfolios for the upcoming winter. The Companies made these changes due to developed liquidity at the market supply point, lower option premiums and the downside protection provided by options.

Q. Do you support the use of 100 percent of options

as the Companies financial hedge component?

A. We support the Companies change because it provides an added level of diversification, which helps to mitigate gas cost volatility. We recommend that the Companies be required to continue to monitor their hedging strategies, including this one on an ongoing basis. Decisions such as this one should be reviewed with Staff during the annual winter supply review.

Q. What is the annual winter supply review?

A. In the annual winter supply review, Staff reviews the previous year’s forecasted gas supply portfolio costs versus the actual costs. Staff also reviews the gas cost forecast for the upcoming winter heating season and, among other things, Staff ensures that New York gas local distribution companies comply with the Commission Statement of Policy Regarding Gas Purchasing Practices issued in Case 97-G-0600 on April 28, 1998.

Q. Please explain what is contained in that Commission policy statement.

A. The Commission Statement of Policy Regarding Gas

Purchasing Practices establishes the requirement for LDCs to consider diverse price volatility mitigation strategies, among other things, as part of its gas purchasing practices to defuse price spikes and valleys for gas supplies.

Q. Do the Companies current practices comply with the requirements of the Commission’s policy statement?

A. Yes. Our review demonstrates that the Companies pricing diversity and volatility mitigation plan is in compliance with the requirements of the Commission’s policy statement.

Q. Does this conclude your testimony at this time?

A. Yes.